+254 711-047-000
www.aib-axysafrica.com
research@aib-axysafrica.com

AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets navigated a pivotal week for monetary policy, with major central banks sending increasingly divergent signals. In his first meeting as Federal Reserve Chair, Kevin Warsh led the Fed in keeping rates unchanged, maintaining a cautious stance as policymakers balance resilient economic growth against inflation that remains above target. In Europe, the European Central Bank delivered a widely expected 25 bps rate hike, while the Bank of England left rates unchanged. Meanwhile, the Bank of Japan raised rates to 1.00%, the highest level in 31 years, underscoring its commitment to policy normalization amid persistent domestic inflation pressures.
- Beyond central banks, investor sentiment continued to improve following progress on the US-Iran interim agreement, which helped ease concerns over a prolonged disruption to energy supplies through the Strait of Hormuz. As oil prices stabilized and fears of a severe energy-driven inflation shock moderated, markets increasingly embraced the soft-landing narrative, supporting risk appetite across major asset classes.
- The European Central Bank hiked the benchmark rate by 25 bps to 2.25% from 2.00%. The decision was unanimous and widely expected by the market. Persistent inflationary pressures, partly driven by elevated energy prices and geopolitical uncertainty, remained a key consideration behind the decision. At the same time, the ECB revised its growth estimates downward to 0.8% for 2026, 1.2% for 2027 and 1.5% for 2028, highlighting the increasingly delicate balance between inflation control and growth support.
- The week's developments reinforced a key theme emerging across global markets: while inflation remains elevated, policymakers appear increasingly focused on managing the transition toward slower but still positive economic growth. This has encouraged investors to rotate back into equities while remaining selective as markets navigate a period of diverging monetary policy paths, persistent inflation risks and evolving geopolitical developments.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,501	7,431	▲ 0.9%
DAX	24,986	24,635	▲ 1.4%
Nikkei 225	71,250	66,020	▲ 7.9%
Hang Seng	23,925	24,718	▼ (3.2%)
FTSE 100 (FTSE)	10,363	10,472	▼ (1.0%)
Dow Jones	51,565	51,202	▲ 0.7%
Median			**▲ 0.8%**

Source: Investing.com AIB AXYS Research

- Global equity markets closed modestly higher during the week, with the median return across major indices rising 0.8%, as investors responded positively to easing energy market concerns and growing confidence that the global economy remains on track for a soft landing.
- In the US, the S&P 500 and Dow Jones advanced 0.9% and 0.7% respectively, as the Federal Reserve's decision to hold rates steady reinforced expectations of a gradual and measured policy path despite persistent inflationary pressures.
- Elsewhere, Japan's Nikkei 225 outperformed global peers, rallying 7.9% after the Bank of Japan delivered its highest policy rate in over three decades. Meanwhile, Hong Kong's Hang Seng Index declined 3.2%, weighed down by lingering concerns over China's growth trajectory and domestic demand recovery.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.49%	4.49%	▼ (0.1bps)
UK 10 Yr Gilt	4.84%	4.84%	▲ 0.4bps
Germany 10 Yr Bund	2.98%	3.00%	▼ (1.6bps)
Japan 10 Year Bond	2.65%	2.64%	▲ 1.4bps

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond markets were largely stable during the week, with yields moving within a narrow range as investors balanced resilient economic data against expectations that major central banks will remain cautious in adjusting monetary policy.
- In the US, the 10-year Treasury yield eased marginally by 0.1 bps to 4.49%, pointing to a broadly balanced outlook between growth resilience and inflation concerns following the Federal Reserve's decision to leave rates unchanged.
- Across Europe, Germany's 10-year Bund yield declined by 1.6 bps to 2.98%, while the UK's 10-year gilt yield edged higher by 0.4 bps to 4.84%. Markets continued to assess the implications of recent ECB policy actions alongside evolving inflation expectations.
- In Asia, Japan's 10-year government bond yield rose by 1.4 bps to 2.65%, reflecting expectations of further gradual policy normalization by the Bank of Japan amid improving domestic economic conditions.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7013	0.7046	▼ (47bps)
USD/JPY	161.310	160.230	▲ 67bps
GBP/USD	1.323	1.341	▼ (129bps)
EUR/USD	1.147	1.157	▼ (86bps)
US Dollar Index	100.62	99.75	▲ 87bps

Source: Investing.com AIB AXYS Research

- The US dollar strengthened during the week, with the US Dollar Index rising by 87 bps to 100.62 as investors continued to favour the currency amid relatively resilient US economic data and expectations that interest rates could remain elevated for longer.
- Major currencies weakened against the dollar, with the Euro and British Pound declining by 86 bps and 129 bps to 1.147 and 1.323 respectively. The moves reflected widening interest rate differentials and continued demand for dollar-denominated assets.
- The Australian dollar weakened by 47 bps to 0.7013, while the Japanese Yen also softened, with USD/JPY rising by 67 bps to 161.31. The yen's weakness came despite expectations of further policy normalization by the Bank of Japan, highlighting the continued influence of yield differentials in global currency markets.

CONTACTS

Research Desk
Email: research@aib-axysafrica.com

Offshore Products & Global Markets
Email: invest@aib-axysafrica.com

Equities Dealing
Email: trading@aib-axysafrica.com

Bond Dealing
Email: trading@aib-axysafrica.com

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